PROJECT ATLAS

Report on Legal Due Diligence

Proposed acquisition of Brampton Leisure Limited and its subsidiaries

Prepared for Kingsford Group Limited by Whitfield Carter LLP

STRICTLY PRIVATE & CONFIDENTIAL — SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE
Dated 10 December 2025 | Ref: SW/JO/ATLAS/0112

1. Scope and basis of this report

This report summarises the principal findings of the legal due diligence carried out by Whitfield Carter LLP on Brampton Leisure Limited (the "Company") and its wholly-owned subsidiaries, Brampton Clubs (Operations) Limited and Brampton Wellness Limited (together the "Group"), in connection with the proposed acquisition by Kingsford Group Limited of the entire issued share capital of the Company (the "Proposed Transaction"). Our review was based on the documents made available in the "Atlas" data room as at 5 December 2025, the Company's replies to our legal due diligence questionnaire, and public searches against each Group company. This report is subject to the limitations set out in Appendix 1 and is addressed to Kingsford Group Limited alone.

2. Executive summary

The Group's corporate structure is straightforward and its title to the Shares and to the subsidiaries appears sound. We have not identified any issue that, in our view, should prevent the Proposed Transaction from proceeding. We have, however, identified a number of matters which should be addressed through specific indemnities, conditions or warranty protection, or reflected in the price or the disclosure process. The key issues are summarised in section 9 and cross-referenced below.

Workstream	Overall assessment	Key issues
Corporate / title	Satisfactory	EMI options to be exercised/released pre-completion (Issue 1)
Property (leasehold)	Amber	Sheffield rent review; two consents to assign on change of control (Issue 2)
Material contracts	Amber	Change-of-control consent under equipment supply contract (Issue 3)
Employment / pensions	Satisfactory	Manager grievance; no DB pension exposure (Issue 4)
IP / IT / data	Satisfactory	Brand trade marks registered; routine ICO request closed (Issue 5)
Litigation	Satisfactory	No material litigation; one threatened employment matter
Tax	Amber	Open HMRC VAT enquiry on membership-freeze credits (Issue 6)

3. Corporate structure and share capital

The Company was incorporated in England and Wales on 12 March 2005 (number 05512984). Its issued share capital is £93,000 divided into 9,300,000 ordinary shares of £0.01 each, with a further 700,000 ordinary shares to be issued on exercise of subsisting EMI options, giving a fully diluted total of 10,000,000 ordinary shares. The statutory registers we reviewed are complete and consistent with the public record.

The Company holds the entire issued share capital of each of the two subsidiaries. We reviewed the share certificates and stock transfer history and are satisfied that title to the subsidiaries is properly vested in the Company. No third party has any registered charge over the Shares, save for the debenture in favour of

Yorkshire Commercial Bank, which is to be released on redemption of the facility at completion.

4. Property

The Group operates from 14 leasehold health and fitness clubs and a leasehold head office in Leeds. The Group owns no freehold property. We reviewed the leases, the certificates of title prepared by the Sellers' solicitors and the replies to enquiries. The leases are generally on institutionally acceptable terms with unexpired terms of between 4 and 19 years.

Two of the leases (the Leeds head office and the Manchester club) contain provisions requiring the landlord's consent to a change of control of the tenant; consent requests have been submitted. The Sheffield club is in the course of an open rent review which could increase the passing rent; we recommend a specific disclosure and that the financial model reflect a prudent estimate of the reviewed rent.

5. Material contracts

The Group's principal commercial contracts comprise its fitness-equipment supply and maintenance agreement, its club-management software licence, its payment-services agreement and a number of personal-trainer and class-instructor arrangements. With one exception, none of the material contracts is terminable, or gives rise to enhanced rights, on a change of control of the Company.

The equipment supply and maintenance agreement with Pulse Fitness Equipment Ltd requires the counterparty to be notified of a change of control and gives it a right to terminate on three months' notice if it does not consent. A consent request has been sent; we recommend that consent (or a waiver) be obtained as a pre-completion item or addressed by warranty and a specific disclosure.

6. Employment and pensions

The Group employs approximately 480 people, of whom around 300 are part-time. Terms of employment are broadly consistent and we identified no systemic issue with contracts, working-time compliance or the national minimum wage. A former regional manager has intimated a grievance alleging constructive dismissal; no claim has been issued and the Sellers consider it to be without merit. We recommend warranty protection and a specific disclosure.

The Group operates a single defined-contribution workplace pension through a master trust, in respect of which auto-enrolment obligations appear to have been met. There is no defined benefit scheme and no associated funding liability.

7. Intellectual property, IT and data protection

The “Brampton” word and device marks are registered in the United Kingdom in the relevant classes in the name of the Company, and the principal domain names are held by the Group. The club-management software is licensed in from a reputable third-party vendor on standard terms. We identified no material third-party IP infringement risk.

The Company received a routine information request from the Information Commissioner's Office in March 2025 concerning a member's subject access request, which was answered within the statutory period; no enforcement action followed. Data-processing arrangements with the payment-services and software vendors are documented and contain compliant processor terms.

8. Litigation and disputes

Other than the threatened employment grievance referred to in section 6, the Group is not engaged in, and the Sellers are not aware of any pending or threatened, litigation, arbitration or regulatory proceedings which are material to the Group.

9. Tax

The Group's tax compliance history appears generally satisfactory. The principal item identified is an open HMRC enquiry into the VAT treatment of credits granted to members who freeze their memberships, covering the periods 2023 to 2024. The Group's advisers consider the Group's treatment to be correct and no assessment has been raised. We recommend that this exposure be covered by the tax covenant and, given its specific nature, supported by a specific indemnity capped at a reasonable estimate of the potential liability and interest.

10. Summary of key issues and recommendations

No.	Issue	Recommended protection
1	EMI options (700,000 shares) outstanding	Condition: exercise/release before completion so Buyer acquires 100%
2	Property: Sheffield rent review; two change-of-control consents	Specific disclosure; price sensitivity; obtain landlord consents
3	Equipment supply contract change-of-control clause	Pre-completion consent or warranty + specific disclosure
4	Threatened manager grievance	Warranty + specific disclosure; conduct provisions
5	Closed ICO subject-access request	Warranty cover; no further action expected
6	Open HMRC VAT enquiry (membership freezes)	Tax covenant + specific indemnity, capped

Appendix 1 — Limitations

This report is provided on the basis that it is for the sole benefit of Kingsford Group Limited and may not be relied upon by any other person. It is based only on the documents and information made available to us as at the date stated and on English law in force at that date. It does not constitute a comprehensive review of every document and does not cover commercial, financial, accounting, tax-advisory, technical or environmental matters, which are the subject of separate advice. This report is subject to legal professional privilege, which is not waived by its disclosure to the directors and professional advisers of the addressee.